Prepayment & Foreclosure – Sample

FICTIONAL SAMPLE DOCUMENT — created for RAG chatbot testing. These terms are illustrative and are not real lender terms, legal advice, or a credit offer.

Part Prepayment

Part prepayment may be allowed after 6 completed EMIs, subject to the loan agreement. A minimum part-prepayment amount of ■10,000 may apply in this sample policy.

Foreclosure

A borrower may request full foreclosure after the permitted lock-in period. The outstanding principal, accrued interest, and applicable charges must be paid.

Sample Foreclosure Charge

For this fictional policy, a foreclosure charge of 3% of outstanding principal may apply when the loan is closed before 24 completed EMIs. No foreclosure charge applies after 24 completed EMIs, subject to the agreement.

Procedure

Submit a foreclosure request, obtain the foreclosure statement, pay the stated amount within its validity period, and obtain closure confirmation and applicable release documents.

Important

These are fictional sample terms for chatbot testing and must not be treated as actual lender charges.

End of sample document.